

This is because costs related to travel to and from work, wardrobe, entertainment, food and other such expenses reduce once you stop going to work. But your monthly expenditure does not stay at Rs 70,000 a month, it begins to creep up again due to inflation. In how many years will this Rs 70,000 double? If inflation is 6 per cent, then at age seventy-two you'll be spending Rs 1.4 lakhs a month.

Use the Rule of 72 again to do the maths. This time you divide 72 by the inflation you are projecting into the future. For example, if we think inflation will be 6 per cent in the future, divide 72 by 6. This means you will spend twice of today's expenditure in twelve years. If you spend Rs 1 lakh a month, in twelve years you will spend Rs 2 lakhs a month. In another twelve years, you will be spending Rs 4 lakhs a month; in another twelve years, you will be spending Rs 8 lakhs a month. Remember: Divide 72 with your inflation number to get the number of years it will take to double your current expenses.

Now you know how much you will spend in the first year of retirement, but what does this mean for your retirement kitty? How much will you need at retirement? ***At age sixty, you need between eighteen to thirty-five times your annual expenses at retirement to retire with the lifestyle you are used to.***

For example, if you are spending an annual Rs 12 lakhs at sixty, you need a retirement corpus of at least Rs 2.2 crores to retire, if you plan to eat up all the money and leave nothing to heirs. If you want to leave the entire corpus to your children, the same annual expense will need a corpus of Rs 4.2 crores. If you plan to leave half your corpus, then you are targeting a corpus of around Rs 3 crores.

In this case you are taking a multiplier that is halfway between eighteen and thirty-five or, approximately, twenty-six. Multiply 12 lakhs with twenty-six and you get Rs 3 crores. The younger you are today, the larger will be the corpus in the future, but the multiplier remains the same. Hope this number with lots of zeros behind scares you into investing right away.

There are a lot of assumptions I've had to use to make these projections; look at Appendix to see them. The future is out there and there are too many things that can change along the way. At a macro level inflation rates could